

Robinhood Markets, Inc.

HOOD NASDAQ

Buy	\$119.14 ▼ 1.39%	12M Price Target \$145.00	52-Week Range \$63.52 – \$153.86	Market Cap \$107.12B
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HOOD: Diversification Story Intact, Kalshi Noise Aside

WHAT HAPPENED

- Stock dipped ~1.4% on lightest volume of the week (only 8.8M shares vs. 28M Monday) — that tells me this is drift, not distribution. Nobody is dumping; buyers just stepped aside.
- The headline pressure came from a DraftKings article noting Kalshi's prediction-market lead narrowed to 76% after data adjustments — HOOD got lumped in as a "prediction market loser," but that's a rounding-error business for them right now.

WHY IT MATTERS

The Zacks piece hits the real story: HOOD at its 5-year IPO mark is no longer a one-trick pony reliant on retail stock trading — crypto, futures, retirement accounts (Gold), and prediction markets are all firing. That matters because the market has been pricing HOOD like a fintech growth story (stock is up ~90% from 52-week lows), and every quarter that diversification holds, the multiple stays elevated. The options tape is screaming bullish — put/call ratio of 0.49 with unusual call buying at \$120, \$121, \$122 for October means big money is betting this consolidation resolves upward into earnings. Institutions own 79.5% and nobody's selling — this pullback looks like a breather, not a top.

POLICY & POLITICAL WATCH

The regulatory backdrop is about as friendly as it's ever been for HOOD: the Trump administration's SEC (under Atkins) has dropped the Gensler-era crypto lawsuits, and the CLARITY Act and stablecoin legislation (GENIUS Act signed earlier in 2025) gave crypto trading firms actual rules to operate under — that's pure oxygen for HOOD's crypto revenue line. On prediction markets, the CFTC has effectively greenlit event contracts (Kalshi won its court fight last year), which means HOOD can push harder into sports/election contracts without regulatory whiplash. Watch for any Democratic pushback in the 2026 midterms — if the House flips, expect renewed noise on PFOF (payment for order flow, how HOOD gets paid by market makers to route your trades), which is still ~40% of transaction revenue.

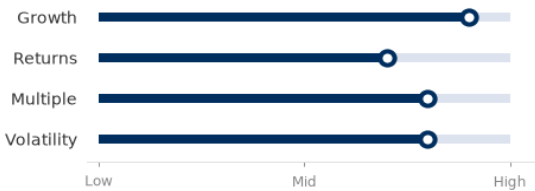
IS IT EXPENSIVE?

At ~64x forward earnings and ~25x forward revenue, HOOD isn't cheap — you're paying \$25 for every \$1 of next year's sales, roughly double what Schwab trades at. But the growth justifies a premium: revenue is likely growing 40%+ this year with expanding margins, and comparable high-growth fintechs (COIN, IBKR) trade in similar zip codes. If crypto stays hot and Gold subscriptions keep compounding, this multiple holds; if trading volumes cool, it compresses fast.

Key Data

Price (USD)	\$119.14
12M Price Target	\$145.00
Upside / (Downside)	+21.7%
Market Cap	\$107.12B
FY2026E Revenue	\$4,250M
FY2027E Revenue	\$5,400M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.45
Fwd P/E	64.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$135.00	\$122.00	\$108.00
6 Months	\$160.00	\$135.00	\$95.00
1 Year	\$185.00	\$145.00	\$85.00
2 Years	\$240.00	\$175.00	\$75.00
5 Years	\$380.00	\$240.00	\$60.00
10 Years	\$650.00	\$350.00	\$50.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+1.1% today, +4% on the week) is leading again as AI capex remains the market's favorite story. Crypto-adjacent financials are benefiting from the friendlier DC posture.

COOLING OFF: Broader Financials (-1.55% on the week) — traditional banks are lagging as rate-cut expectations get pushed out and yield curves flatten. HOOD trades more like tech than a bank, which is why it's holding up better than the sector.

ROTATION WATCH: Money is rotating from boring bank names into fintech/crypto rails — that's a direct tailwind for HOOD, COIN, and the exchange operators.

RELATED PLAY: If HOOD's crypto revenue keeps ripping, the pure-play infrastructure names (COIN, CME for futures) benefit too. Prediction-market pure-play exposure is basically Kalshi (private) or DKNG's Kalshi partnership.

WHO'S WINNING IN THIS SPACE?

- IBKR (Interactive Brokers): Boring but relentless — 10x in 10 years by winning the sophisticated trader. The stock the pros own instead of HOOD.
- COIN (Coinbase): Direct beneficiary of the same crypto-regulation tailwind driving HOOD's crypto line.

HOOD CONTEXT: HOOD is the growthier, higher-beta version of this trade — leading on the way up, will lead on the way down. At 62% of its 52-week range, it's neither overbought nor washed out. The tape is telling us it wants to break higher, but needs an earnings catalyst to do it.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup but the stock has already run hard from \$63, so I'm not pounding the table at \$119.

POSITION SIZE: 3-5% of portfolio — real upside but this thing can move 5% on a random Tuesday, so don't oversize.

ENTRY POINTS: I'd add on pullbacks to \$110-115; if we get a crypto scare that drops it to \$95-100, back up the truck.

TIME HORIZON: 12-24 months — the key catalyst is Q3 earnings in late October, then Q4 for the full diversification proof point.

WHEN TO BAIL: Cut it if crypto revenue drops more than 30% QoQ, if the CFTC reverses course on event contracts, or if a Democratic sweep in 2026 puts PFOF back in the crosshairs.

HEDGING: Easiest hedge is a small short in COIN (moves with HOOD but is more pure-play crypto) or just buy some cheap SPY puts — if the whole market drops, HOOD drops harder, and those puts pay off.